

At the Intersection of Public and Private Investing: A Case Study

by David Abrams

The goal of investing is to eat well and sleep well, to generate profits in a way that never threatens your solvency or causes you a restless night. That is the essence of *Security Analysis*. Its prescription for conservative investing has served many generations well, despite—or, in fact, because of—the dramatic changes that have transpired since this book was first published in 1934.

Throughout these pages, Graham and Dodd advise investors to continually seek a margin of safety. Doing so is not a formula into which numbers can be blindly inserted; it is a mindset that helps one minimize the probability of loss and maximize gain. Those who buy stable assets focus mostly on a discounted entry price, which means less risk is incurred and greater potential return is available. Those who purchase companies, either publicly traded stocks or privately held enterprises, must weigh many qualitative considerations, such as the competency of management, the stability of the company and its growth prospects, the degree to which barriers to entry exist, the alignment of interests among the various constituencies (or lack thereof), and the ability of the company to allocate capital intelligently. Graham and Dodd were wary of these intangibles and preferred hard numbers, like entries on a balance sheet or income statement, and discernible facts, such as the terms of a debt instrument. Indeed, they